

PROCUREMENT & PURCHASE APPROVAL POLICY

Document Version: 1.0

Effective Date: 01 January 2025

Applicable System: Enterprise Resource Planning (ERP) System

Department Owner: Finance & Procurement

1. Purpose

This document defines the procurement and purchase approval process followed within the ERP system of **mpinext Manufacturing Pvt. Ltd.** The objective of this policy is to ensure controlled purchasing, financial accountability, and compliance with internal audit requirements.

All procurement activities must be initiated, approved, and recorded through the ERP system.

2. Scope

This policy applies to all employees involved in procurement-related activities, including:

- Purchase requisition creation
- Purchase approval and authorization
- Purchase order generation
- Invoice verification and payment processing

Manual purchases or offline approvals outside the ERP system are strictly prohibited unless explicitly approved as an exception.

3. Roles and Responsibilities

Role	Responsibilities and ERP Permissions
Employee	Create purchase requisitions in the ERP system
Department Manager	Approve purchase requisitions up to ₹50,000
Finance Manager	Approve purchase requisitions above ₹50,000
Procurement Officer	Convert approved requisitions into Purchase Orders
Accounts Team	Verify invoices and process payments

Each role is assigned system permissions within the ERP to ensure segregation of duties.

4. Purchase Requisition and Approval Workflow

The procurement workflow within the ERP system follows these steps:

1. An employee raises a Purchase Requisition in the ERP system with required details such as item description, quantity, and justification.
2. The requisition is automatically routed to the respective Department Manager for approval.
3. If the requisition value exceeds ₹50,000, it is forwarded to the Finance Manager for additional approval.
4. Upon approval, the Procurement Officer generates a Purchase Order (PO) in the ERP system.
5. The Purchase Order is issued to the selected vendor through the ERP system.

No purchase shall be made without an approved Purchase Order.

5. Invoice Processing and Payment

Invoice processing is handled through the ERP system as follows:

1. Vendors submit invoices referencing the corresponding Purchase Order number.
2. The Accounts Team performs a three-way match between:
 - Purchase Order
 - Goods Receipt Note
 - Vendor Invoice
3. Any discrepancies are flagged in the ERP system for review.
4. Once verified, invoices are approved for payment and scheduled as per payment terms.

Invoices without valid Purchase Orders will not be processed.

6. Escalation Rules

The ERP system enforces the following escalation rules:

- Purchase requisitions pending approval for more than **3 working days** are automatically escalated to the next approval authority.
 - Rejected requisitions must include a rejection reason in the ERP system.
 - Emergency or urgent purchases require Finance Manager approval irrespective of purchase value.
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7. Compliance and Audit

All procurement transactions are logged within the ERP system and are subject to internal and external audits.

- Audit logs must be retained for a minimum period of **5 years**.
- Any deviation from this policy will be treated as a compliance violation.
- Procurement activities conducted outside the ERP system may result in disciplinary action.

8. Document Control

Policy Owner: Finance Department

Last Reviewed: 01 January 2025

Next Review Date: 01 January 2026
